

INSURANCE AND PENSIONS COMMISSION

REPORT ON

SHORT TERM INSURERS AND REINSURERS

FOR THE QUARTER ENDED 30 SEPTEMBER 2011

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1. List of Acronyms and Abbreviations

GPW	–	Gross Premium Written
NPW	–	Net Premium Written
IBNR	–	Incurred But Not Reported
ROE	–	Return on Equity
NEP	–	Net Earned Premium
O/S	–	Outstanding
UPR	–	Unearned Premium Reserve
H1	–	First Half
Q1	–	First Quarter
Q2	–	Second Quarter
Q3	–	Third Quarter
IPEC/Commission	–	Insurance and Pensions Commission

NOTE: Unless stated otherwise, all monetary figures are in United States Dollars

2. Executive Summary

This report presents an analysis of the performance of direct short term insurers as well as short term reinsurers for the year to 30 September 2011.

The volume of business generated by the direct short term insurers increased as evidenced by the 39.61% growth in gross premium written from \$83.12 million reported for the year to 30 September 2010 to \$116.05 million for the year to 30 September 2011. The increase in business volumes translated to an increase in profitability reflected by the increase in profit before tax from a loss of \$1.22 million for the year to 30 September 2011 to \$4.77 million for the period under review.

As at 30 September 2011, only two direct short term insurers reported capital levels which were below the minimum requirement of \$300,000. Solvency ratios for all active direct short term insurers were above the minimum regulatory requirement of 25%.

Direct short term insurers' total assets decreased from \$111.95 million as at 30 June 2011 to \$104.73 million as at 30 September 2011. The decline in total assets was largely driven by a decline in non-current assets from \$56.14 million as at 30 June 2011 to \$46.23 million as at 30 September 2011.

The risk appetite of the direct short term insurers decreased as evidenced by the marginal decrease in retention ratio from 53% reported for the year to 30 September 2010 to 50.15% reported for the period under review.

Gross premium written by the reinsurers increased from 37.92 million as at 30 September 2010 to \$50.48 million as 30 September 2011. As a result of increased business volumes and increases in investment income the short term reinsurers reported an increase in profit before tax from a loss position of \$654,000 for the year to 30 September 2010 to \$2.92 million for the period under review.

Only one reinsurer reported a capital level which was below the minimum capital requirement of \$400 000, stipulated in Statutory Instrument 183 of 2009, as at 30 September 2011. All the reinsurers reported solvency ratios which were above the prudential minimum of 25%.

The reinsurers reported an average premium retention ratio of 66.24% for the year to 30 September 2011, compared to 63% reported for the comparative period in 2010, reflecting an increase in the risk appetite.

The insurance brokers reported total gross premium of \$32.55 million for the year to 30 September 2011. The business generated was mainly attributable to third part motor vehicle insurance and fire insurance which constituted 29.59% and 22.87% respectively. The insurance brokers reported total profit after tax amounting to \$0.29 million for the year to 30 September 2011. The profits were largely driven by brokerage income which amounted to \$4.6 million for the period under review. The major cost driver was administration expenses which amounted to \$5.63 million. Total assets for the brokers amounted to \$43.41 million as at 30 September 2011.

SECTION A

3. Short-Term Insurance Companies

3.1. Update on Number of Operational Institutions

The number of direct short insurers increased from 29 to 30 following the readmission of Lloyd's into the Zimbabwean market. This report is based on statistics obtained from 26 direct short term insurers which were operational as at 30 September 2011. Lloyd's has been recently admitted into the Zimbabwean market and is yet to submit their returns.

3.2. Business Written

The direct short term insurers recorded total gross premium of \$116.05 million for the year to 30 September 2011, reflecting a 39.61% increase from \$83.12 million recorded in the comparative period in 2010 reflecting an increase in the volume of business underwritten. The increase in gross premium was largely attributable to increases in gross premium emanating from motor and personal liability insurance which amounted to \$13.63 million and \$4.68 million respectively. However, gross premium attributable to health insurance and hire purchase recorded the highest growth rate of 479.63% and 156.07% respectively as shown in Table 2 below. The growth in gross premium derived from health insurance was mainly attributable to a shift of strategic focus by Suremed Insurance Company towards the health insurance niche.

Table 1: Earnings Performance Indicators

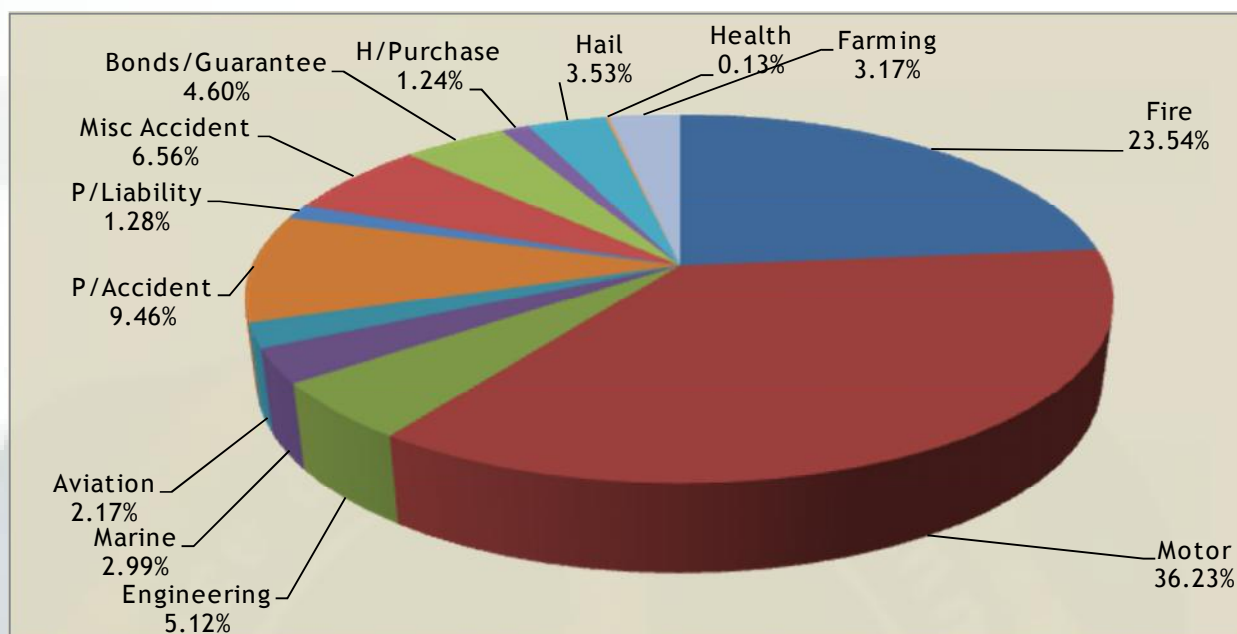
	Q3 2011 (000)	Q3 2010 (000)	% Change
Gross Premium Written	116,047	83,121	39.61%
Net Premium Written	58,196	43,888	32.60%
Net Earned Premium	57,973	40,535	43.02%
Net Claims Incurred	22,429	17,078	31.33%
Net Commission Incurred	5,394	3,982	35.47%
Management Expenses	25,253	20,716	21.90%
Underwriting Profit	921	-1,046	188.09%
Investment Income	2,035	1,268	60.46%
Profit Before Tax	4,774	-1,216	492.56%

Table 2: Gross Premium Written by Class of Business

Contribution by Class	Q3 2011	Q3 2010	% Change
Fire	27,313,164	22,826,333	19.66%
Motor	42,044,803	28,413,211	47.98%
Engineering	5,937,578	3,855,381	54.01%
Marine	3,471,616	2,527,617	37.35%
Aviation	2,515,633	2,816,933	-10.70%
P/Accident	10,976,493	6,294,203	74.39%
P/Liability	1,489,094	643,662	131.35%
Misc Accident	7,608,946	6,431,962	18.30%
Bonds/Guarantee	5,339,002	3,323,214	60.66%
H/Purchase	1,437,303	561,299	156.07%
Hail	4,091,397	3,199,698	27.87%
Health	147,238	25,402	479.63%
Farming	3,675,162	2,201,589	66.93%
Total	116,047,429	83,120,504	39.61%

The distribution of business by gross premium written continued to be skewed towards motor and fire insurance which contributed 36.23% and 23.54% respectively for period under review. Notwithstanding the distribution of business being skewed towards motor and fire insurance, concentration risk is considered moderate. Insurers should however, consider devising innovative strategies to come up with strategies that address the needs of low income earners in the market. This will go a long way, not only in increasing penetration levels, but also in diversifying the short term insurers' portfolios thereby reducing exposure to inherent concentration risk.

Figure 1: Distribution of Business by Gross Premium Written



3.3. Earnings

Direct short term insurers recorded total profit before tax of \$4.78 million for the year to 30 September 2011, compared to a loss of \$1.22 million reported in the comparative period in 2010. The improvement in profitability was mainly attributable to increases in the volumes of business underwritten, coupled with increases in investment income and unrealized gains from valuation of properties and equities. Investment income and unrealized gains increased from \$1.27 million and negative \$1.67 million for the year to 30 September 2010 to \$2.04 million and \$6.37 million respectively, for the period under review. Table 1 above shows the key earnings performance indicators for the year to 30 September 2010 and 30 September 2011.

The direct short term insurers recorded an average combined ratio of 91.6% for the period under review, down from 103% recorded in the comparative period in 2010, reflecting an improvement in cost management. The major cost drivers were operating expenses and claims which amounted to \$25.25 million and \$22.43 million which represented 47.58% and 42.26% of the total expenses respectively.

The underwriting profits increased from negative \$1.05 million for the year to 30 September 2010 to \$0.92 million for the period under review. The increase in underwriting profits is also reflected in the improvement in the underwriting margin from negative 3.1% for the year to 30

September 2010 to 8.4% for the period under review. The improvement in underwriting margin was underpinned by improvement in business underwritten coupled with a decrease in net claims incurred ratio from 42.1% for the period ended 30 September 2010 to 38.7% for the year to 30 September 2011. The decrease in net claims incurred ratio reflects an improvement in the quality of business written. However, underwriting profits contributed only 19.29% of profit before tax indicating that the sector did not derive the bulk of its income from underwriting.

The direct short term insurers reported a loss ratio of 19.33% for the year to 30 September 2011 reflecting an improvement from 20.55% reported for the comparative period in 2010.

Although the consolidated figures for all the direct short term insurers indicate that, the sector made profits in the year to 30 September 2011, the Commission has noted with concern that a total of ten short term insurers reported losses (for more details see Appendix A). A review of the major cost drivers of the loss making insurers indicate that the losses were in most instances attributable to claims incurred which was a major cost driver. The said losses retard organic growth of capital and may, in the absence of fresh capital injection, result in insolvency.

3.4. Capitalization

All direct short term insurers, except for Sanctuary Insurance Company and Suremed Insurance Company reported capital levels which were above the regulatory minimum of \$300,000 stipulated in Statutory Instrument 183 of 2009 as at 30 September 2011 (see table 3 below). The Commission will engage Sanctuary and Suremed Insurance Company with a view to having them regularize their capital positions to comply with the minimum regulatory capital requirement. Although the proportion of capital attributable to revaluation reserves continued on the downward trend from 31.8% as at 30 June 2011 to 29.42% as at 30 September 2011 the capital base remained largely attributable to revaluation reserves.

An analysis of the submitted returns indicate that a total of seven direct short term insurers did not provide for net claims incurred but not reported (IBNR). In terms of section 25(2c) of the Insurance Act [Chapter 24:07], every registered insurer who carries on insurance business other than life insurance business is required to maintain unimpaired assets in respect of provision for net claims incurred, but not reported. Failure to quantify incurred but not reported claims

results in insurers facing challenges in determining assets to set aside in respect of the same. In addition, failure to provide for incurred but not reported claims implies these insurers cited above understated their liabilities thereby overstating their capital levels and solvency ratios. All insurers are required to provide for all liabilities so that they do not overstate their capital positions. In future, the Commission will adjust the reported positions for any insurer to take into account IBNR.

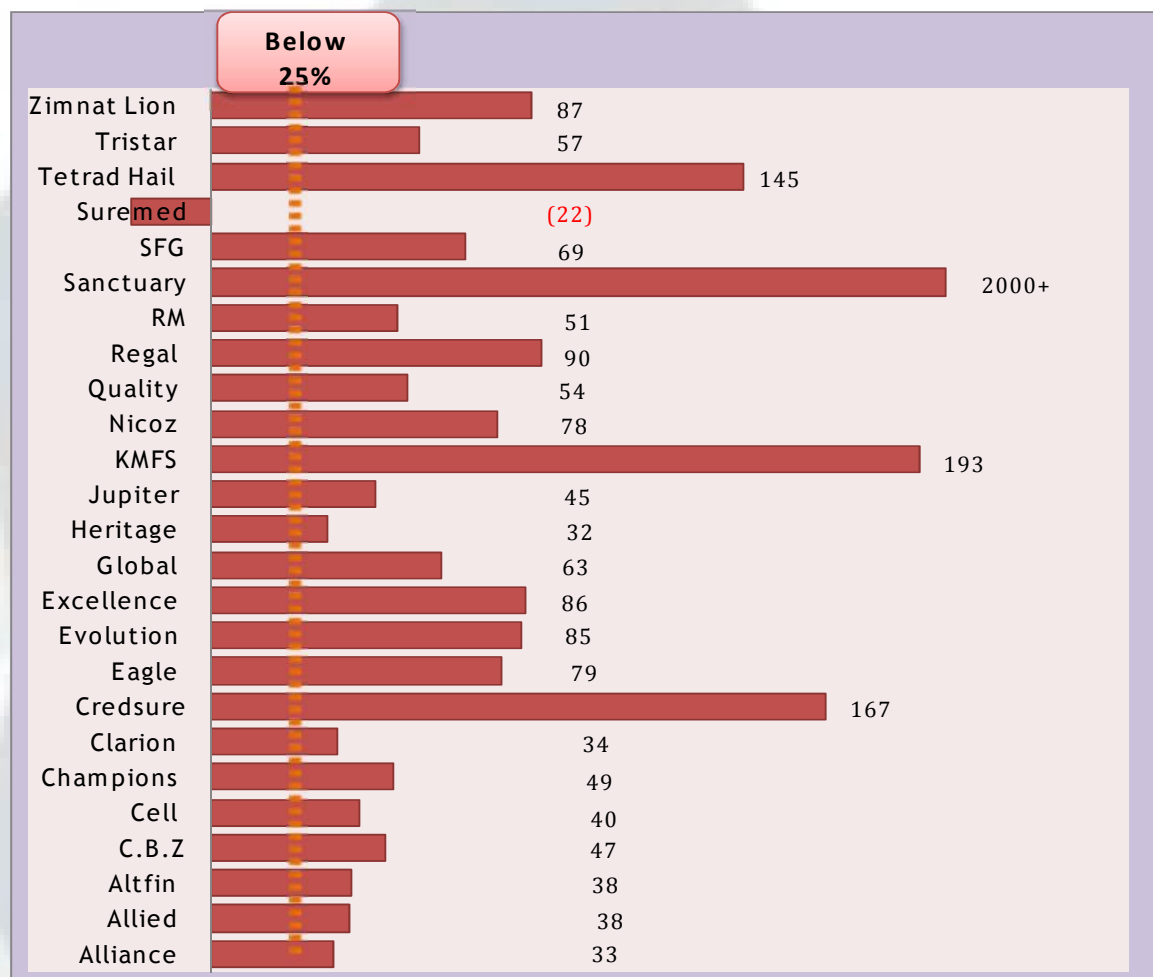
The Commission has since commenced conducting a capital verification exercise across the industry. In addition, the Commission has also started making in roads in preparing for Solvency II implementation.

Table 3: Level of Capitalisation

Name of Insurer	Reported Capital Position \$(000)
Alliance	2,555
Allied	303
Altfin	1,556
C.B.Z	832
Cell	1,691
Champions	970
Clarion	449
Credsure	2,372
Eagle	1,790
Evolution	708
Excellence	393
Global	419
Hamilton	1,950
Heritage	765
Jupiter	449
KMFS	1,088
Nicoz	6,994
Quality	585
Regal	562
RM	3,941
Sanctuary	290
SFG	1,091
Suremed	(31)
Tetrad Hail	1,572
Tristar	1,397
Zimnat	2,675.9

All direct short term insurers, except for Suremed Insurance Company reported solvency ratios which were above the minimum regulatory requirement of 25% as at 30 September 2011. The industry average solvency ratio was 64% as at 30 September 2011, reflecting a decrease by 44 percentage points from 108% reported as at 30 June 2011.

Figure 2: Solvency Ratios

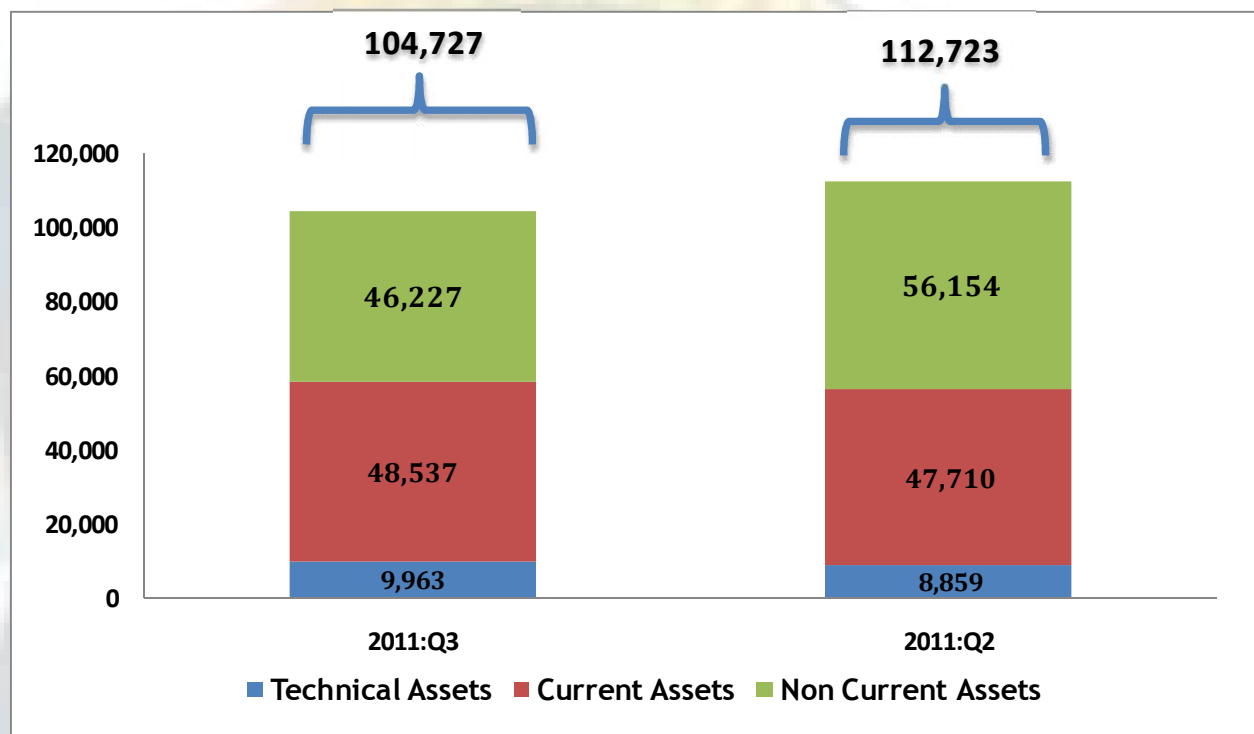


3.5. Asset Quality

Total assets decreased from \$111.95 million as at 30 June 2011 to \$104.73 million as at 30 September 2011. The decrease was buoyed by a decline in non-current assets from \$56.14 million as at 30 June 2011 to \$46.23 million as at 30 September 2011. The shrinkage of the direct short term insurers' balance sheet shown by the decrease in total assets is not in line with the reported increases in business volumes and this might be a red flag.

The asset base as at 30 September 2011 was marginally skewed towards current assets which amounted to \$48.54 million and contributed 46.35% of total assets. The skewness of the direct short insurers' asset base towards current assets is in tandem with the short term insurance business. Figure 3 below shows the composition of the asset base as at 30 June 2011 and 30 September 2011.

Figure 3: Assets Composition of Short-Term Insurers ('000)



3.6. Market Share for Short-Term Insurers

The direct short term insurers' sector reported a Herfindahl Index¹ of 0.11 in terms of both gross premium written and net premium written reflecting that the market was moderately concentrated. The moderate concentration of the market helps to enhance competition in the industry which may translate to improved service to policyholders. Nicoz Diamond Insurance Company, Cell Insurance Company and Alliance Insurance Company remained the top three insurers in terms of gross premium written with market shares of 12.2%, 11.3% and 10.6% respectively. In terms of net premium written the market leaders were Nicoz Diamond Insurance

¹ The Herfindahl Index is the sum of squared market shares of firms in an industry. An index below 0.1 indicates an unconcentrated industry, an index of 0.1 to 0.18 indicates moderate concentration and an index above 0.18 indicates high concentration.

Company, RM Insurance Company and Alliance Insurance Company with market shares of 15.4%, 13.3% and 13.1% respectively. Nicoz Diamond Insurance Company and Alliance Insurance Company recorded the highest market shares of 13.9% and 10% respectively in terms of total assets. Figure 4 and 5 below show the market shares for the period under review.

Figure 4: Market share using GPW and NPW

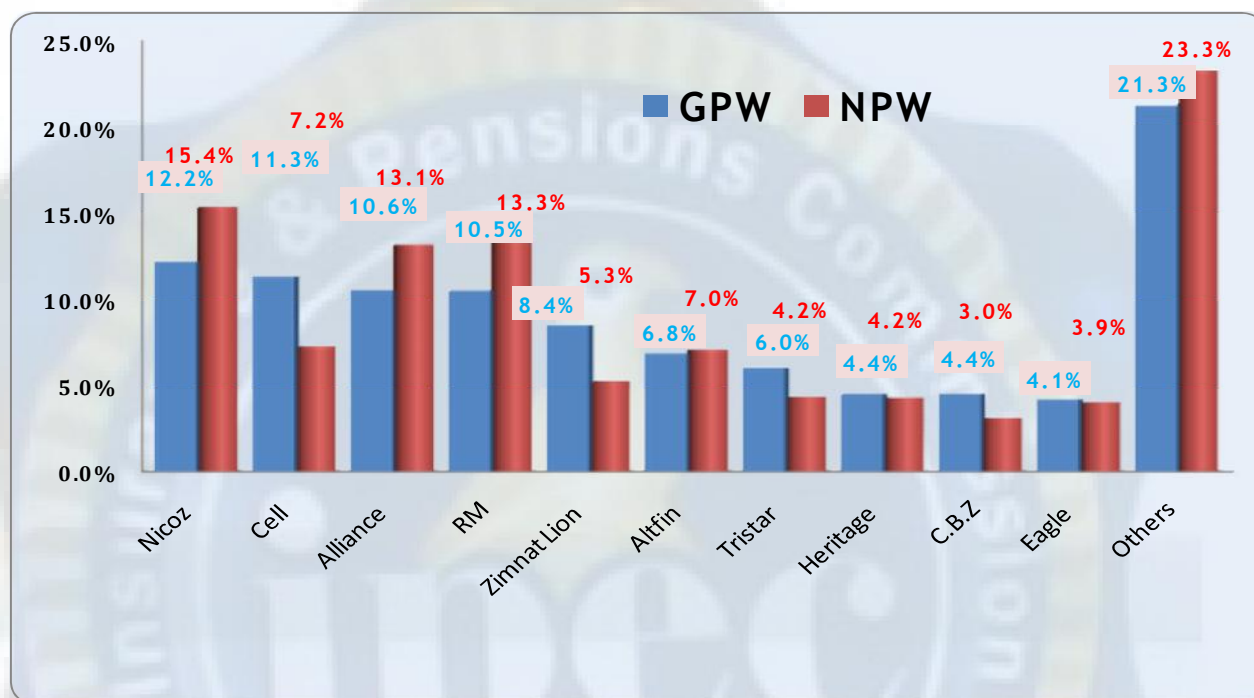
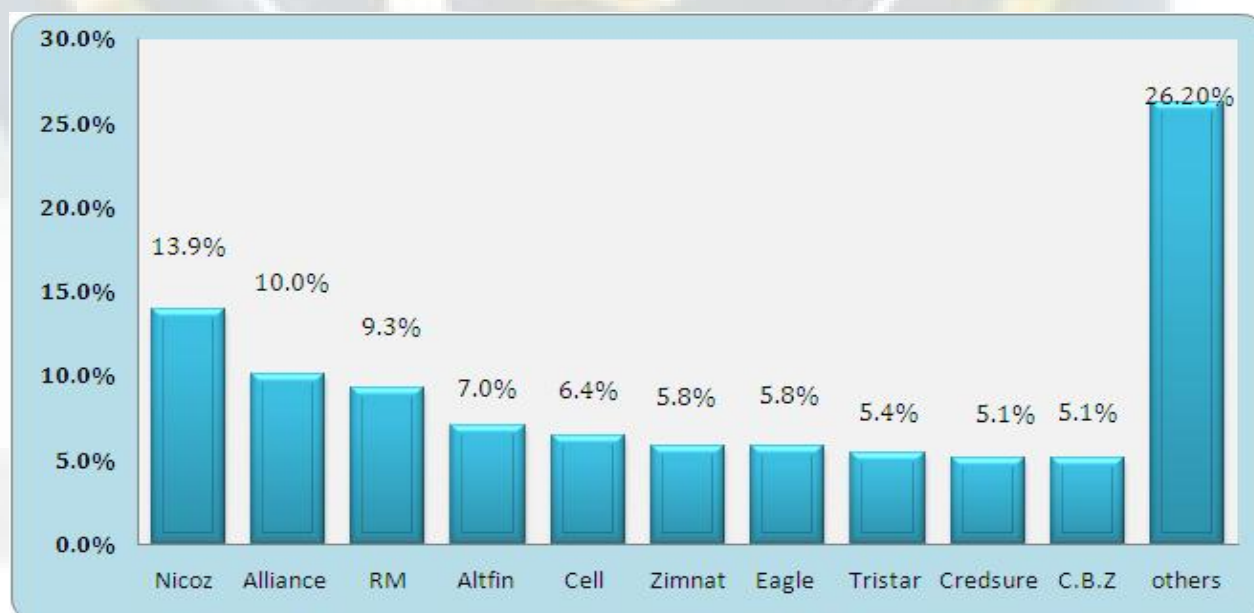


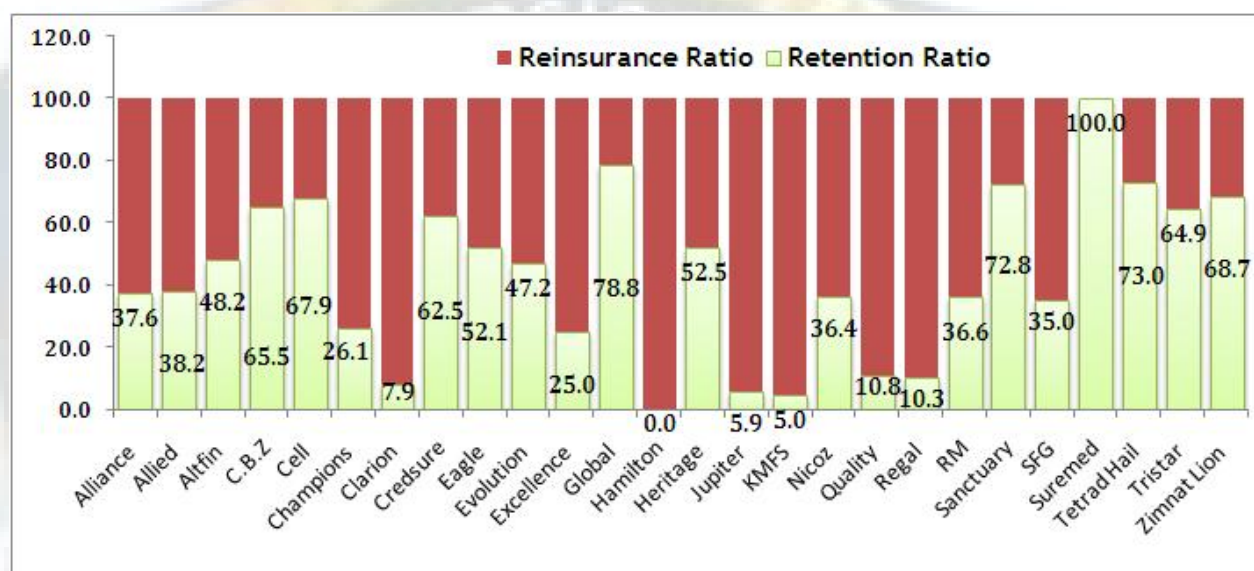
Figure 5: Market Share In Terms of Asset Base



3.7. Reinsurance

The direct short term insurance industry's average risk retention ratio marginally decreased from 53% reported for the year to 30 September 2010 to 50.15% reported for the period under review. The retention ratios for individual insurers ranged from 10.3% to 100%. The diagram below shows the retention/reinsurance ratios for all the direct short term insurers for the period under review.

Figure 6: Reinsurance/Retention for Short Term Companies



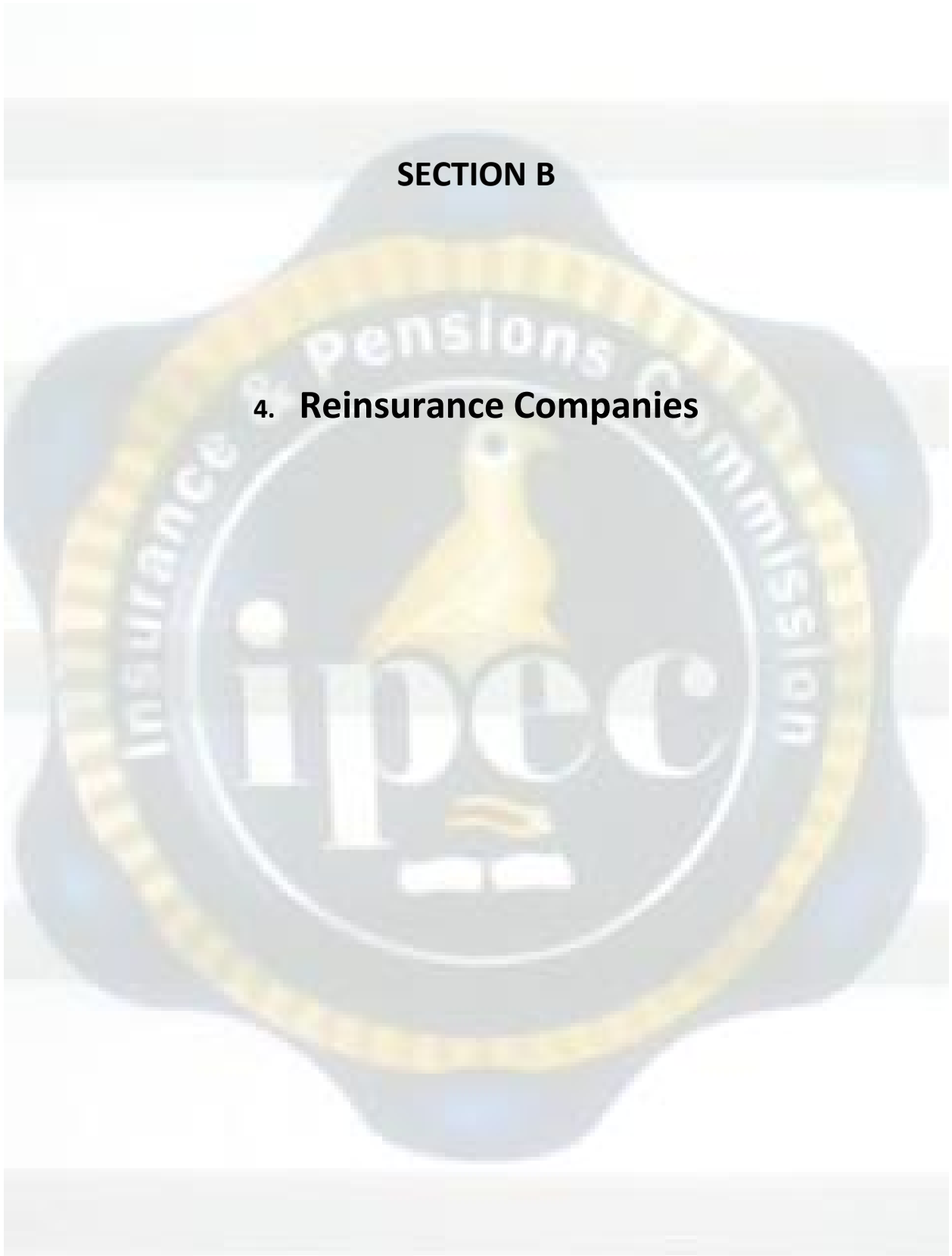
The highest risk appetite was reported in health insurance as indicated by the retention ratio of 95.27%. The lowest risk retention ratio of 3.07% was reported in aviation insurance owing to limited capacity by the local insurers given the high values of sum insured in aviation insurance. Figure 7 below illustrates the risk retention ratios by classes of business.

Figure 7: Retention by Class



SECTION B

4. Reinsurance Companies



4.1. Business Written

The eight registered short-term reinsurers reported total gross premium written of \$50.48 million for the year to 30 September 2011, reflecting a 33.13% increase from \$37.92 million reported for the comparative period in 2010. The increase in gross premium written was mainly attributable to an increase in business underwritten particularly in motor, farming and fire insurance which increased by a total of \$9.03 million, from \$20.43 million reported for the year to 30 September 2010 as shown in Table 5 below. Table 4 below shows the key performance indicators.

Table 4: Performance Indicators (000)

	Q3 2011	Q3 2010	% Change
Gross Premium Written	50,479	37,916	33.13%
Net Premium Written	33,438	23,923	39.77%
Net Earned Premium	30,029	21,998	36.51%
Net Claims Incurred	10,178	7,154	42.27%
Net Commission Incurred	8,670	5,972	45.17%
Management Expenses	10,751	8,125	32.32%
Underwriting Profit	906	-1,863	148.63%
Investment Income	984	47	1,993.74%
Profit Before Tax	2,918	-654	546.13%

Of all the classes of insurance business, personal accident and farming insurance recorded the highest percentage growth in gross premium written of 2,332.2% and 933.4% respectively. The rapid increase in business volumes derived from personal accident and farming helped to reduce the proportion of the reinsurers' total book attributable to fire insurance thereby reducing concentration risk. Table 5 below show the gross premiums by business class.

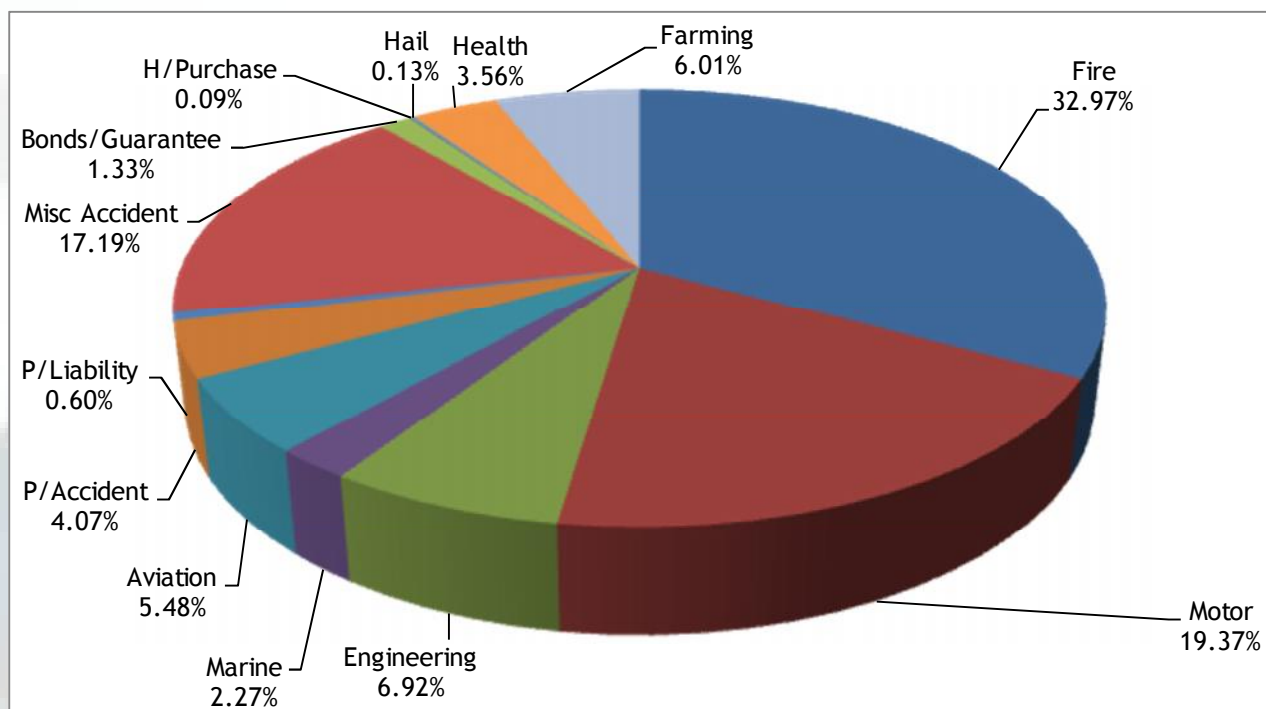
4.2. Distribution of Gross Premium Written by Business Class

Fire and motor insurance were the dominating classes of business, accounting for 33% and 19% of total gross premium written for the period under review respectively. Fire and miscellaneous accident insurance recorded the largest declines in their respective proportions of gross premium written from 37% and 24% for the year to 30 September 2010 to 33% and 17% respectively, for the period under review. Personal accident insurance recorded the highest growth rate in gross premium written as shown in Table 5 below. Figure 8 below shows the distribution of business written by class of insurance.

Table 5: Gross Written Premiums by Class of Business

Class	Q3 2011	Q3 2010	% Change
Fire	16,642,664	13,900,622	19.7%
Motor	9,776,272	6,234,772	56.8%
Engineering	3,491,676	2,600,855	34.3%
Marine	1,147,671	2,385,145	-51.9%
Aviation	2,768,394	1,614,003	71.5%
P/Accident	2,053,259	84,420	2,332.2%
P/Liability	301,279	307,540	-2.0%
Misc Accident	8,678,117	8,985,515	-3.4%
Bonds/Guarantee	672,711	608,824	10.5%
H/Purchase	44,398	50,345	-11.8%
Hail	67,210	11,220	499.0%
Health	1,798,870	838,740	114.5%
Farming	3,035,979	293,786	933.4%
Total	50,478,500	37,915,787	33.1%

Figure 8: Distribution of Business



4.3. Earnings

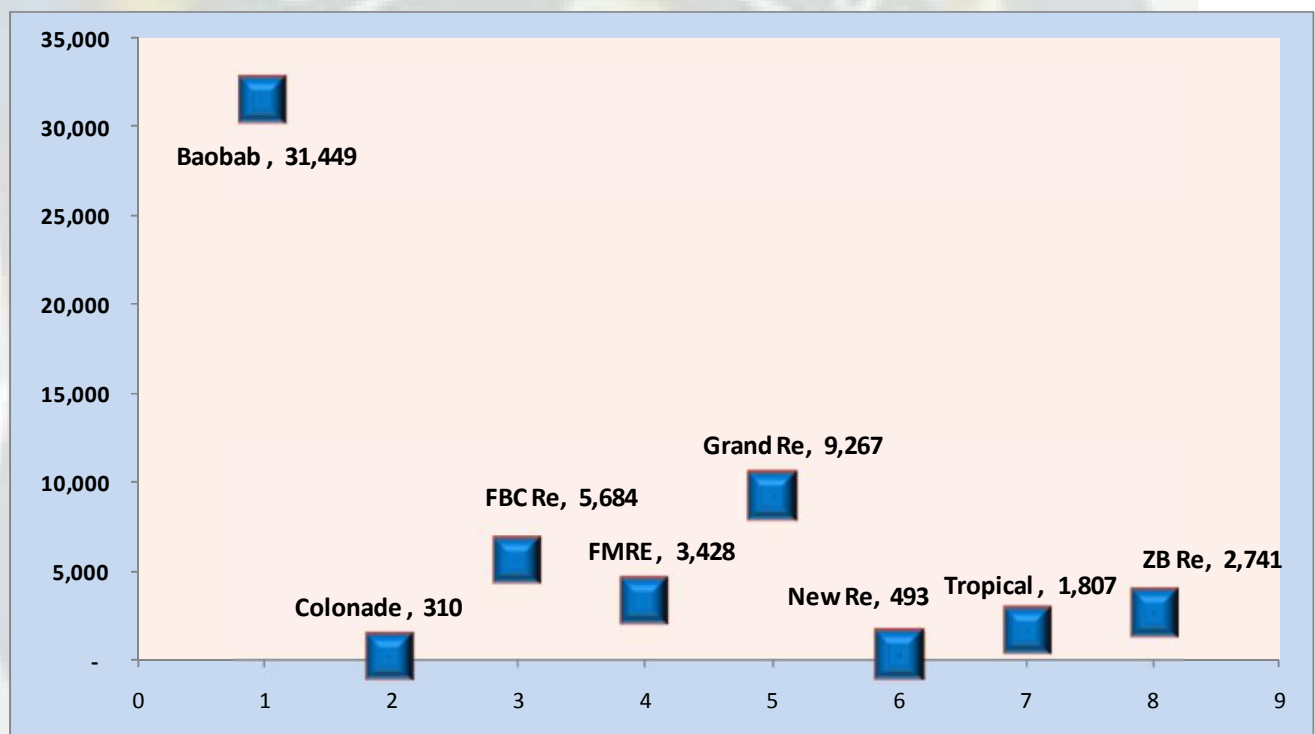
The short term reinsurers reported total profit before tax of \$2.92 million for the year to 30 September 2011, up from a loss of \$654,000 reported in the comparative period in 2010. The increase in profit was largely attributable to an increase in volume of business coupled with rapid growth in investment income as shown in Table 4 above.

The underwriting margin increased from negative 4.91% for the year to 30 September 2010, to 1.79% for the period under review reflecting improved underwriting profitability. The underwriting profit however, amounted to \$906,000 and contributed 31.05% of profit before tax. The remainder of the profit before tax was attributable to investment income and unrealized movement from market valuation of equity. The reinsurers reported a combined ratio of 98.6%.

4.4. Capitalization

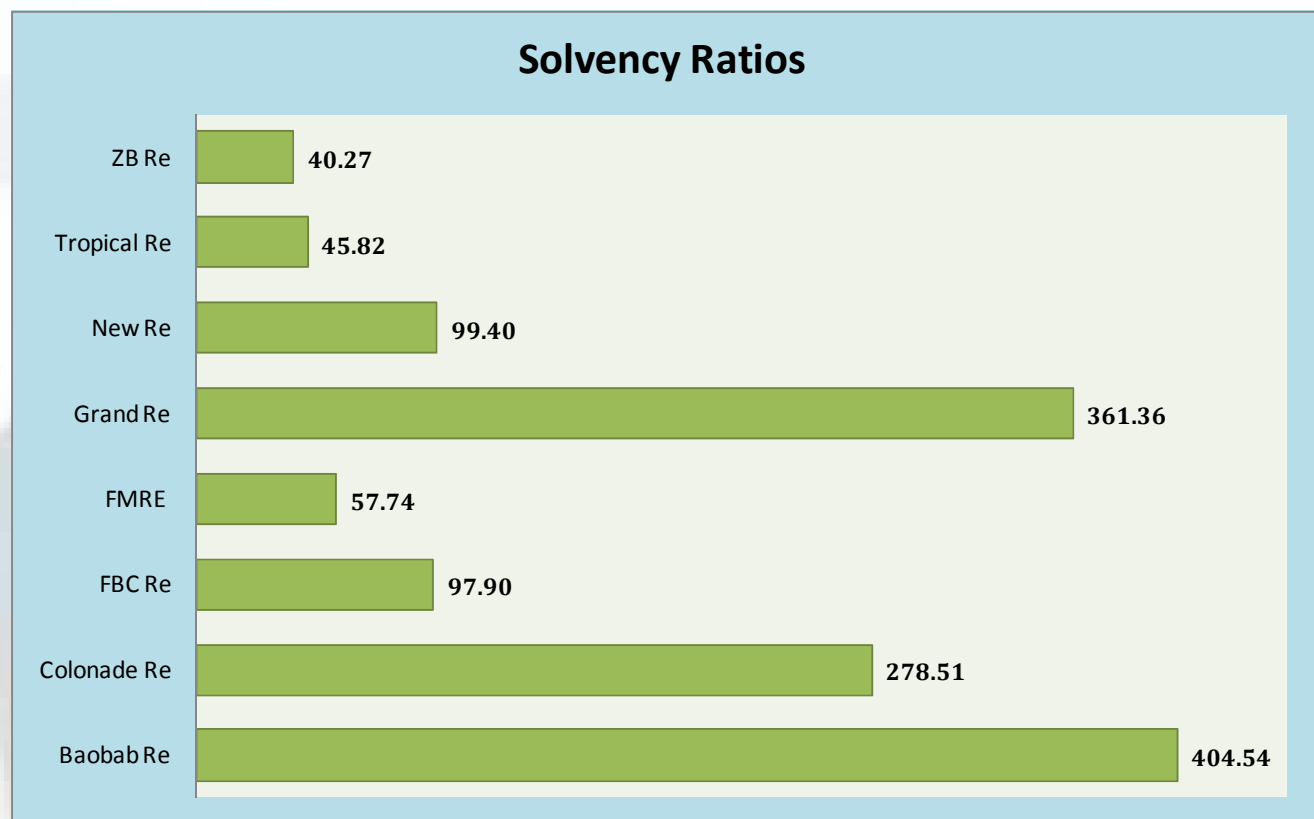
All short term reinsurers except Colonnade Reinsurance Company reported capital levels which were below the minimum capital requirement of \$400,000 for reinsurance companies. The Commission has since engaged Colonnade Reinsurance Company with a view to having the institution recapitalize. In view of the imminent increase in minimum regulatory capital requirements New Reinsurance Company should also consider raising its capital levels. Increased capital levels will also go a long way in enabling the reinsurer to write more business. Figure 11 below shows the capitalization levels for each short term reinsurer.

Figure 9: Shareholders Equity



All the short term reinsurers reported solvency ratios which were above the minimum requirement of 25%. The solvency ratios reported ranged from 40.27% to 404.54% as shown in Figure 12 below. The average solvency ratio was 165.02%.

Figure 10: Solvency Ratios

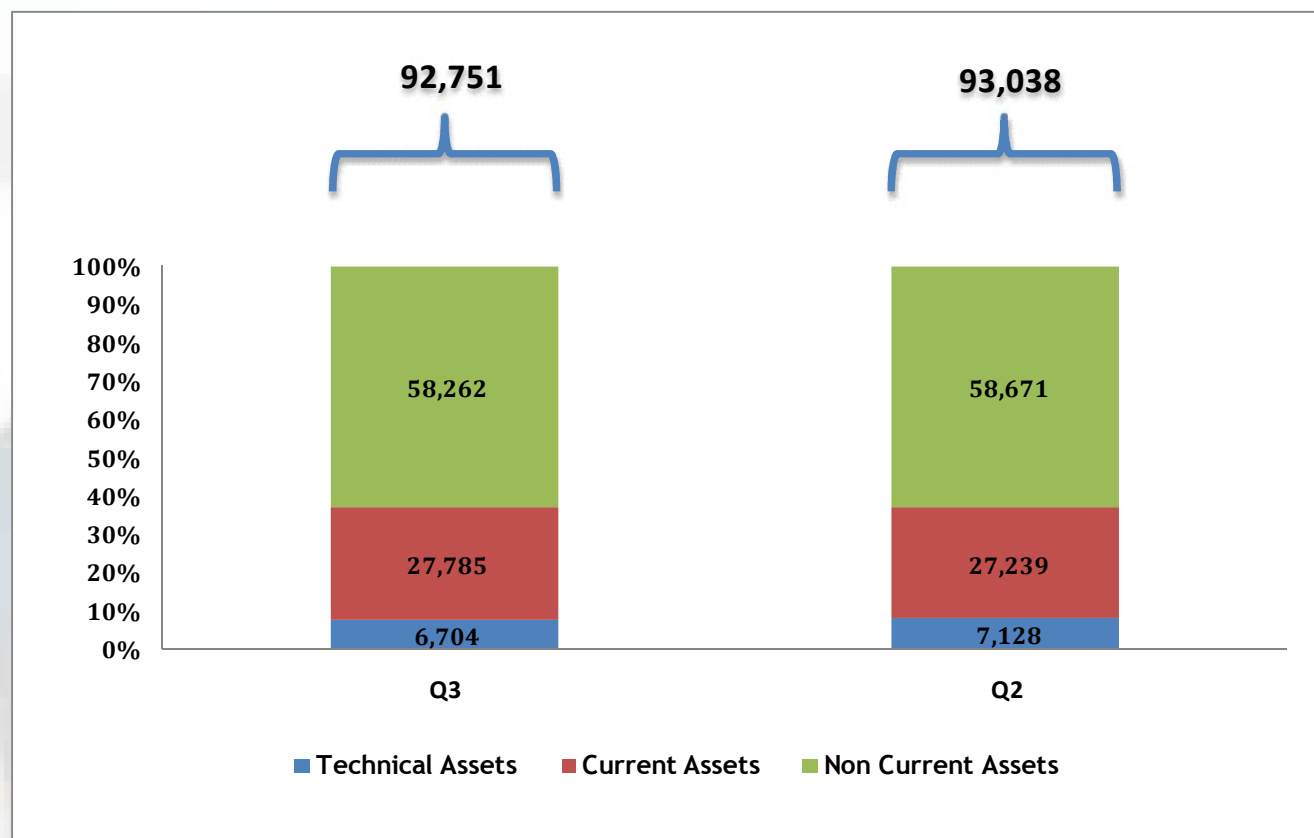


4.5. Asset Quality

Total assets decreased from \$93.04 million as at 30 June 2011 to \$92.75 million as at 30 September 2011. The decrease in total assets was mainly attributable to decreases in long term deposits and, cash and cash equivalents from 3.02 million and 7.66 million as at 30 June 2011 to \$1.34 million and 7.19 million as at 30 September 2011, respectively. The decline in the reinsurers' cash and cash equivalents may result in liquidity challenges given the increasing business volumes and the illiquidity generally obtaining in the market as a whole.

The asset base continued to be skewed towards non current assets which contributed 62.82% of the total asset base at 30 September 2011. Dominance of the asset base by long term assets is not in line with the nature of business of short term reinsurers and may lead to asset and liability mismatch.

Figure 11: Assets of Reinsurers ('000)



4.6. Market Share for Reinsurers

The short term reinsurers' market was considered moderately concentrated with Herfindahl indices of 0.18 in terms of both GPW and NPW. However, in terms of the balance sheet sizes the industry is highly concentrated with a reported Herfindahl index of 0.28 as at 30 September 2011. FMRE Property and Casualty Reinsurance Company, Baobab Reinsurance Company and ZB Reinsurance Company remained the top three short term reinsurers with market shares of 24.8%, 21.2% and 18.5% in terms of gross premium written. In terms of net premium written Baobab Reinsurance Company was the market leader with a market share of 23.2% followed by ZB Reinsurance Company and FMRE Property and Casualty Reinsurance Company with market shares of 20.4% and 17.8% respectively.

Baobab Reinsurance Company, FBC Reinsurance Company and FMRE Property and Casualty were the market leaders in terms of total assets with a combined market share of 71%. Figure 9 and 10 below shows the market shares of each reinsurer.

Figure 12: Market Shares in terms of GPW and NPW

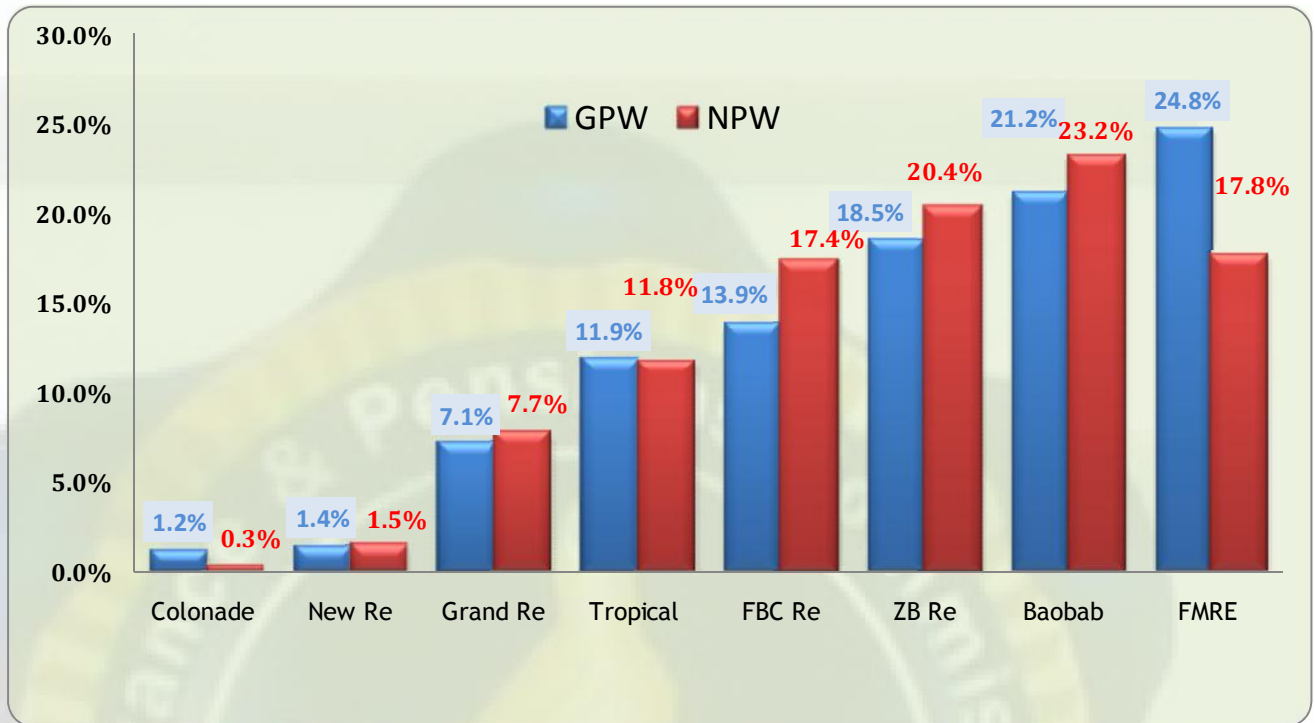
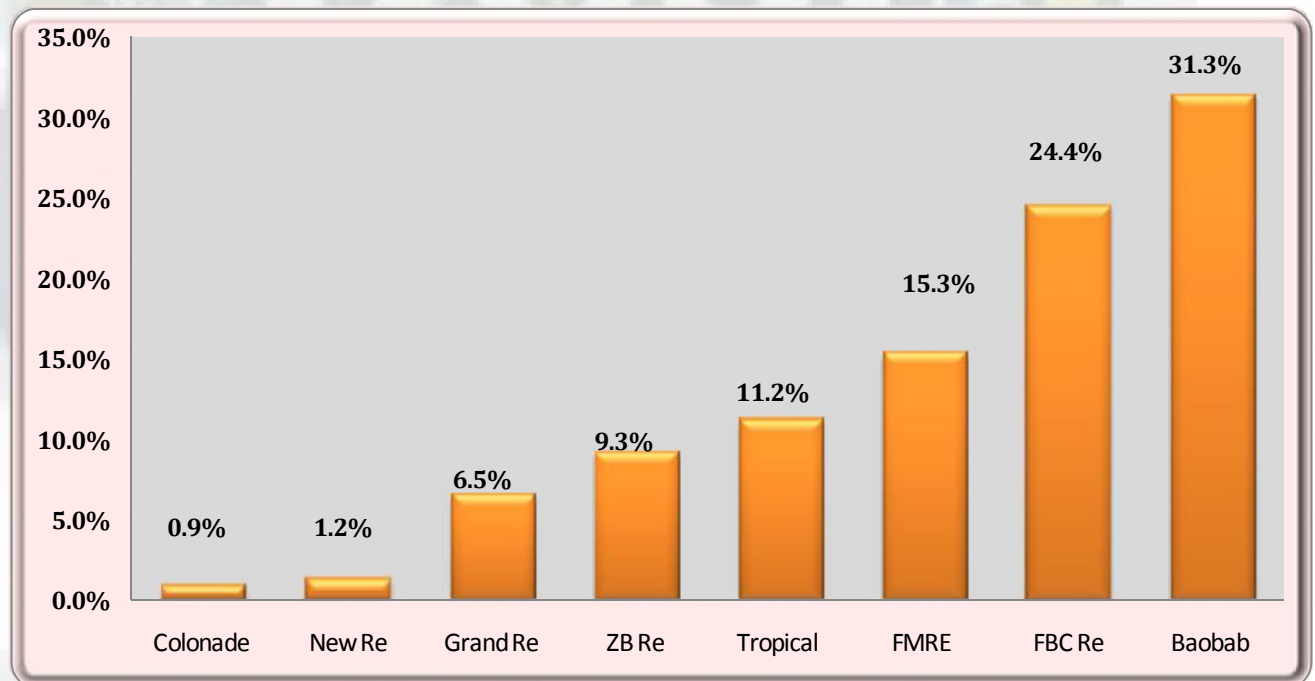


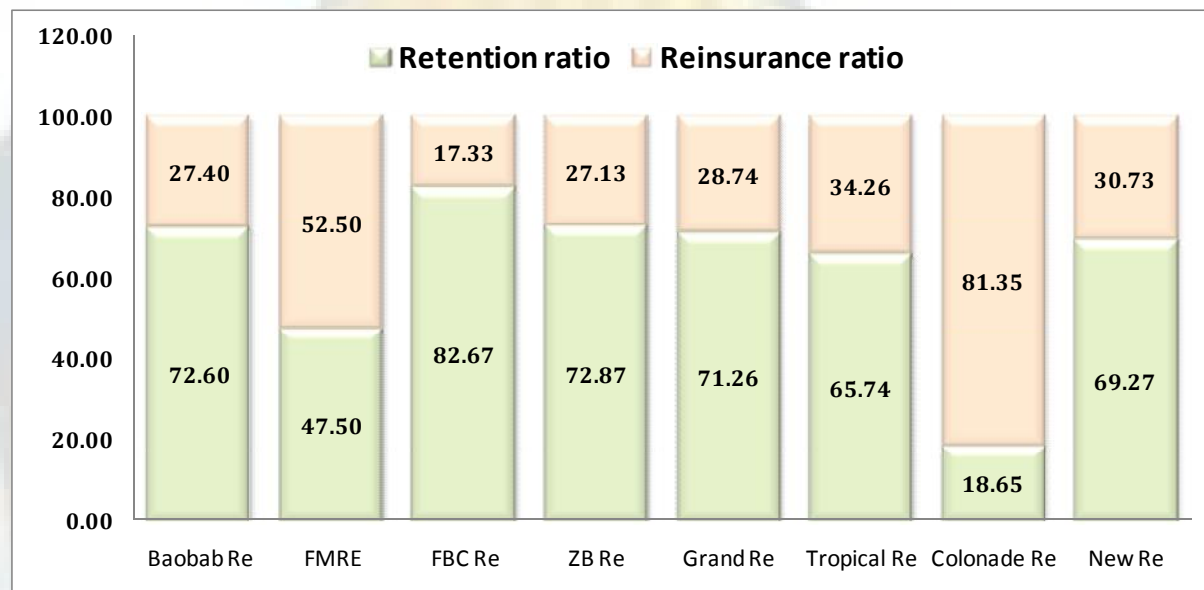
Figure 13: Market Share by Asset Distribution



4.7. Retrocession

The short term reinsurers reported an average retention ratio of 66.24% for the period under review, up from 63% reported in the comparative period in 2010, reflecting an increase in the risk appetite. The risk retention ratios for each reinsurer are as shown in the Figure 14 below.

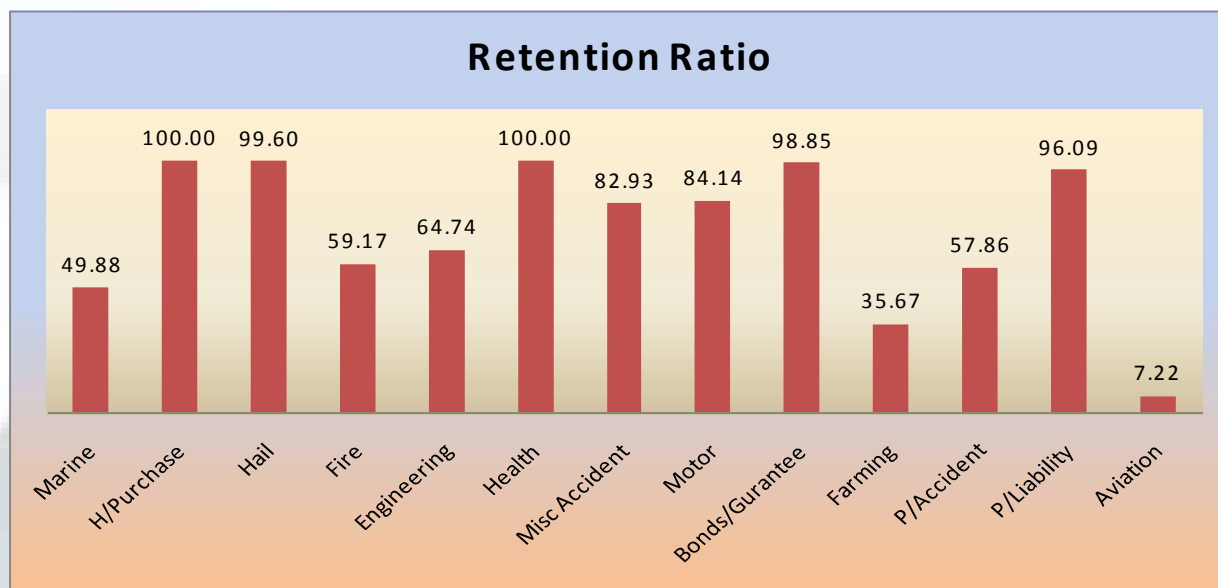
Figure 14: Retention/Retrocession



The highest levels of risk retention were reported in hire purchase and health insurance as shown in Figure 15 below. However, the volume of business generated from these classes of business contributed only 3.65% of the total business generated. As a result the risk of failing to meet claims emanating from hire purchase and health business is low since the claims are likely to be within the reinsurers' capacity.

As in the case of direct short term insurers, aviation recorded the lowest risk retention levels as shown in Figure 15 below. This implies that the bulk of the premium generated from aviation sector is placed with retrocessionaires outside the country.

Figure 15: Retention by Class of Business



The background of the page features a large, semi-transparent watermark of the Insurance & Pensions Commission (IPEC) logo. The logo is a circular emblem with a dark blue outer ring containing the text 'Insurance & Pensions Commission' in white. Inside the ring is a yellow parrot perched on a branch, with the acronym 'ipecc' in a stylized font below it.

SECTION C

5. INSURANCE BROKERS

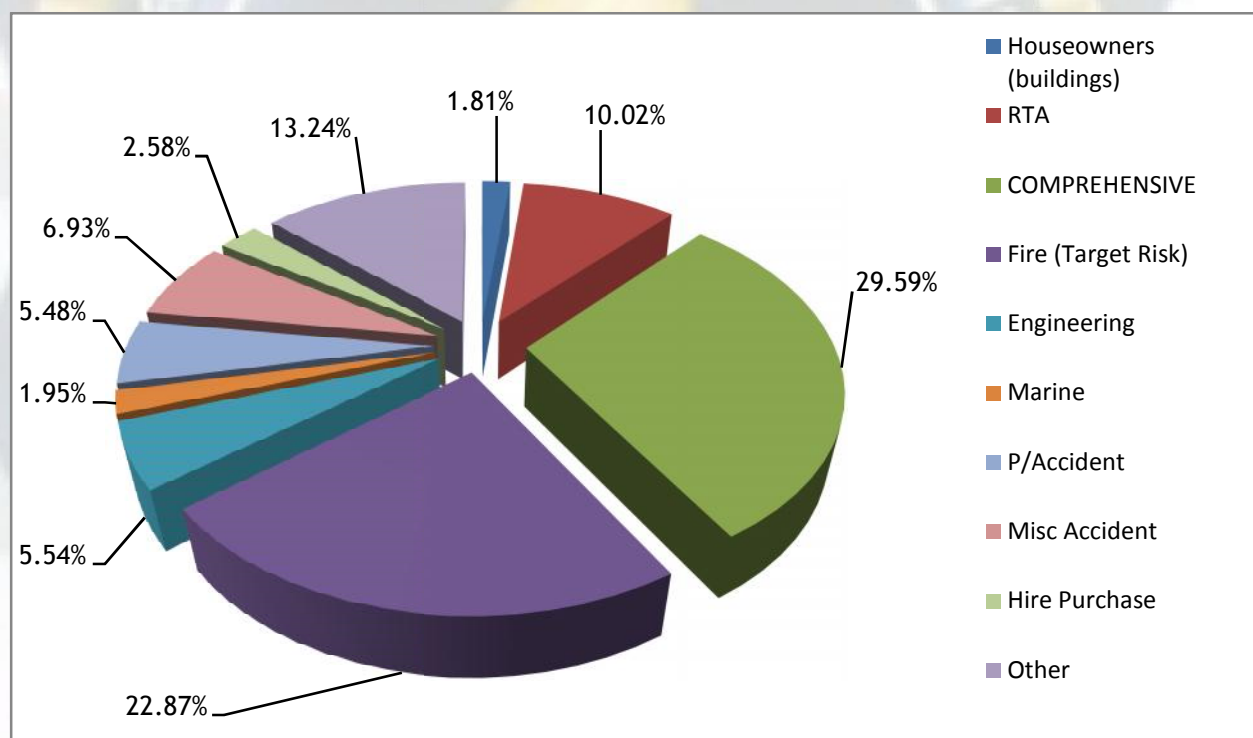
5.1. Number of Insurance Brokers

As at 30 September 2011 there were twenty eight (28) insurance brokers, of which twenty five were direct short term and life assurers brokers while three (3) were reinsurance brokers. The Commission experienced challenges in obtaining data from some brokers due to various reasons including absence of information technology systems in some challenges. As a result this report is based on data from twenty four 24 insurance brokers only.

5.2. Business Written

The Insurance brokers reported total gross premium of \$32.55 million for the year to 30 September 2011. The business generated was skewed towards third part motor vehicle insurance and fire insurance which constituted 29.59% and 22.87% respectively. Figure 16 below shows the distribution of business by business class.

Figure 16: Distribution of Gross Premium by Class of Business



5.3. Analysis of the Statement of Financial Position

Insurance brokers reported total assets of \$43.41 million as at 30 September 2011. The total assets were largely made up of commission receivable and, cash and cash equivalents which amounted to \$28.13 million and \$5.84 million, contributing 64.79% and 13.46% of total assets respectively.

The insurance brokers reported an average equity to assets ratio of 12.94% indicating that the extent of funding from shareholders is relatively low. Total premiums payable amounted to \$35.36 million as at 30 September 2011 which constituted 81.97% of the brokers' total assets. The foregoing points indicate that the insurance brokers' balance sheets are highly leveraged. As a result there is need to employ prudent risk management with a view to protect the interests of policy holders.

5.4. Profitability

The insurance brokers reported total profit after tax amounting to \$0.29 million for the year to 30 September 2011. The profits were largely driven by brokerage income which amounted to \$4.6 million for the period under review. The major cost driver was administration expenses which amounted to \$5.63 million. Return on equity and return on assets were 5.24% and 0.68% respectively reflecting that the brokers were able to increase value to shareholders. The table below shows the statement of comprehensive income for the insurance brokers for the year to 30 September 2011.

Table 6: Statement of Comprehensive Income for Insurance Brokers

	Year to 30 September 2011
Gross Premium Written	32,550,765.82
Gross Premium Payable	27,626,632.10
Brokerage Commission	4,924,133.72
Less Commission Paid	328,117.05
Net Brokerage Income	4,596,016.67
Other Income	1,732,886.85
Less Administration Expenses	5,626,071.69
Profit Before tax	702,831.83
Taxation	410,045.60
Profit After Tax	292,786.23

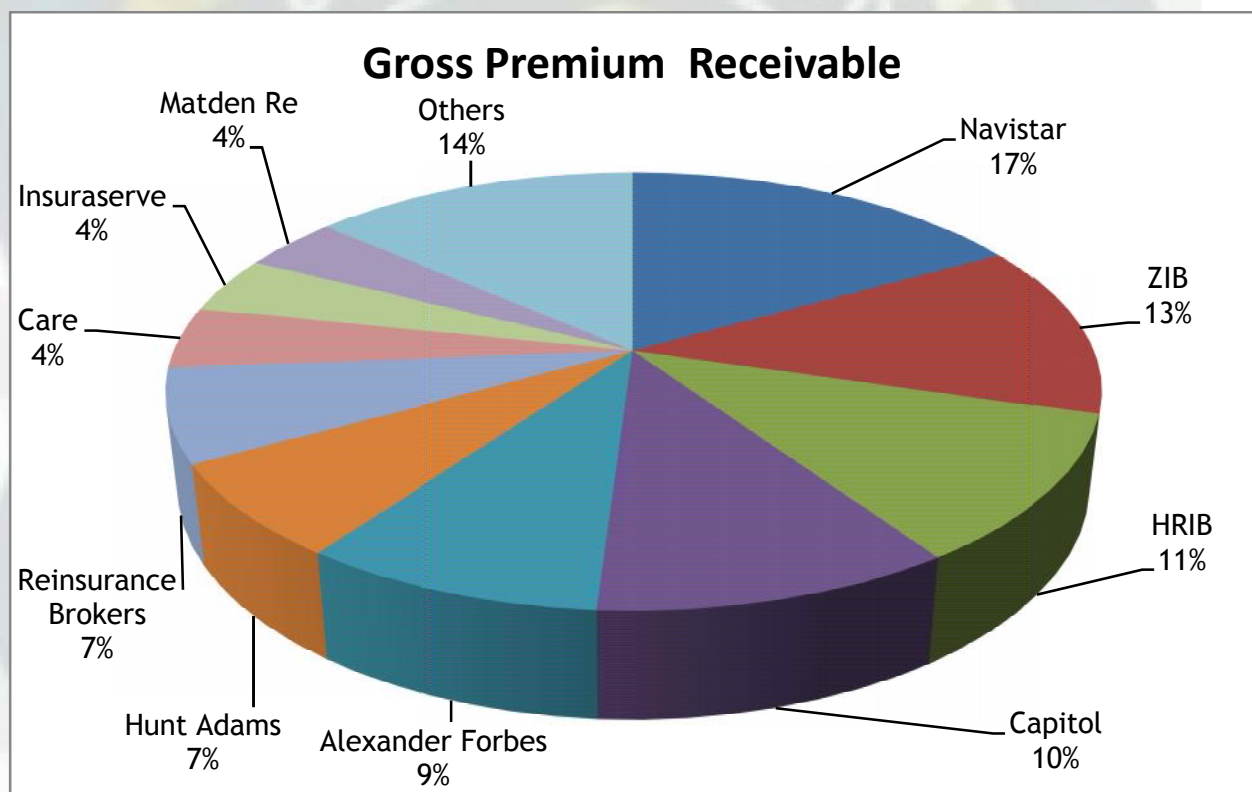
5.5. Claims

As at 30 September 2011, Insurance brokers reported claims amounting to \$7.8 million, of which 53.94% of the claims (\$4.21 million) had been settled. The number and value of repudiated claims was 12 and \$123,437 respectively.

5.6. Market Share for Insurance Brokers

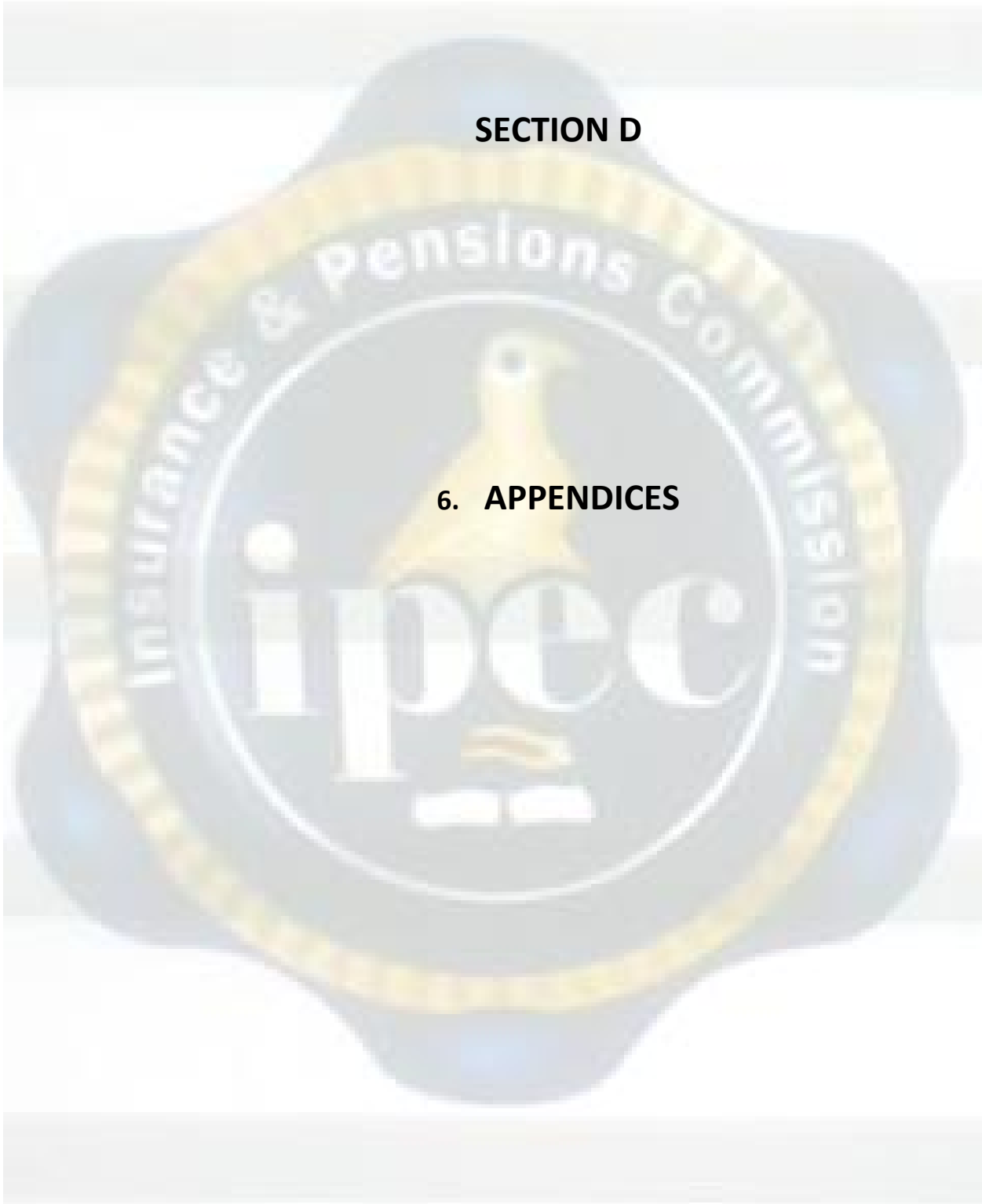
Navistar Insurance Brokers, ZIB and HRIB reported the highest market shares in terms of gross premium received of 17%, 13% and 11% as shown in figure 16 below.

Figure 17: Market Share in terms of Gross Premium received



SECTION D

6. APPENDICES



APPENDIX A: ALL FIGURES IN US\$('000)

	Alliance	Allied	Altfin	C.B.Z	Cell	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	Jupiter	KWFS	Nicoz	Quality	Regal	RM	Sanctuary	SFG	Suremed	Tetrad Hail	Tristar	Zinnat	TOTAL
GPW	12,249	1,295	7,911	5,089	13,145	2,654	1,414	3,779	4,734	1,583	613	3,164	0	5,103	1,064	592	14,138	1,226	698	12,214	24	2,432	139	4,007	6,993	9,789	116,047
Reinsurance	4,606	494	3,816	3,331	8,931	692	112	2,361	2,468	746	153	2,495	0	2,678	62	30	5,151	133	72	4,464	18	851	0	2,925	4,536	6,726	57,852
NWP	7,642	801	4,095	1,758	4,213	1,963	1,303	1,417	2,266	836	459	669	0	2,425	1,002	563	8,987	1,093	626	7,750	7	1,580	139	1,082	2,458	3,063	58,196
NEP	8,470	1,036	4,132	1,636	3,657	1,695	1,003	1,117	2,380	836	445	582	0	2,190	968	563	8,525	889	616	7,588	7	2,367	139	1,082	2,866	3,185	57,973
Net Incurred Claims	5,421	221	2,180	476	2,224	407	283	245	(987)	255	168	262	0	624	555	109	5,131	175	99	3,633	4	1,391	110	(1,112)	(668)	1,222	22,429
Net Commission Incurred	872	14	405	(114)	(178)	288	99	(315)	(141)	17	65	17	0	35	93	0	1,001	174	0	753	(2)	167	0	561	1,550	34	5,394
Technical Result	2,011	312	1,535	1,215	1,667	942	620	1,224	1,252	564	217	357	0	1,560	320	453	2,295	540	517	3,219	14	868	29	531	1,983	1,929	26,175
Operating Expenses	1,660	349	1,727	950	1,240	463	771	814	1,382	230	110	332	50	1,316	414	398	3,167	344	608	2,198	8	1,423	74	489	2,440	2,295	25,253
Underwriting Result	350	(37)	(192)	265	427	479	(151)	409	(131)	334	108	24	(50)	244	(94)	56	(872)	196	(90)	1,021	6	(555)	(46)	42	(457)	(367)	921
Investment																											
Investment Income	149	3	220	34	176	41	133	41	0	12	0	32	0	20	0	23	333	12	0	258	0	0	0	371	120	56	2,035
Unrealised Gains/Losses	0	0	1	29	77	0	0	0	12	46	0	(13)	0	(30)	0	0	36	30	0	36	0	20	0	0	394	0	637
Other Income	44	9	162	0	0	194	4	29	66	0	0	0	0	23	10	0	0	0	0	0	0	0	0	0	280	183	1,005
Profit Before Tax	543	(25)	191	307	680	715	(14)	480	(53)	392	108	43	(50)	258	(83)	79	(442)	238	(90)	1,316	6	(400)	(46)	413	337	(128)	4,774
Key Ratios																											
Market Share % on GPW	10.6%	1.1%	6.8%	4.4%	11.3%	2.3%	1.2%	3.3%	4.1%	1.4%	0.5%	2.7%	0.0%	4.4%	0.9%	0.5%	12.2%	1.1%	0.6%	10.5%	0.0%	2.1%	0.1%	3.5%	6.0%	8.4%	100.0%
Market Share % on NWP	13.1%	1.4%	7.0%	3.0%	7.2%	3.4%	2.2%	2.4%	1.9%	1.4%	0.8%	1.1%	0.0%	4.2%	1.7%	1.0%	15.4%	1.9%	1.1%	13.3%	0.0%	2.7%	0.2%	1.9%	4.2%	5.3%	100.0%
Retention Ratio	62.4%	61.8%	51.8%	34.5%	32.1%	73.9%	92.1%	37.5%	47.9%	52.8%	75.0%	21.2%	0.0%	47.5%	94.1%	95.0%	63.6%	89.2%	89.7%	63.4%	27.2%	65.0%	100.0%	27.0%	35.1%	31.3%	50.1%
NEP/ NWP	110.8%	129.4%	100.9%	93.1%	86.8%	86.4%	77.0%	78.8%	105.0%	100.0%	97.0%	87.0%	0.0%	90.3%	96.6%	100.0%	94.9%	81.3%	98.4%	97.9%	100.0%	149.8%	100.0%	100.0%	116.6%	104.0%	99.6%
Net Claims Incurred Ratio	64.0%	21.3%	52.8%	29.1%	60.8%	24.0%	28.3%	22.0%	-41.5%	30.5%	37.7%	44.9%	0.0%	28.5%	57.3%	19.4%	60.2%	19.7%	16.0%	47.9%	65.5%	58.8%	79.4%	-102.8%	-23.3%	38.4%	38.7%
Net Commission Ratio	10.3%	1.3%	9.8%	-7.0%	-4.9%	17.0%	9.9%	-28.2%	-5.9%	2.0%	14.5%	2.9%	0.0%	1.6%	9.7%	0.0%	11.7%	19.6%	0.0%	9.9%	-32.3%	7.1%	0.0%	51.9%	54.1%	1.1%	9.3%
Net Expense Ratio	19.6%	33.7%	41.8%	58.1%	33.9%	27.3%	76.9%	72.9%	58.1%	27.5%	24.6%	57.1%	0.0%	60.1%	42.7%	70.7%	37.1%	38.7%	98.6%	29.0%	127.1%	60.1%	53.5%	45.2%	85.1%	72.1%	43.6%
Combined Ratio	93.9%	56.3%	104.4%	80.2%	89.8%	68.3%	115.1%	66.7%	10.7%	60.0%	76.8%	105.0%	0.0%	90.2%	109.7%	90.1%	109.1%	78.0%	114.6%	86.8%	160.3%	125.9%	133.0%	-5.7%	115.9%	111.5%	91.6%
Underwriting Margin	6.1%	43.7%	-4.4%	19.8%	10.2%	31.7%	-15.1%	33.3%	89.3%	40.0%	23.2%	-5.0%	100.0%	9.8%	-9.7%	9.9%	-9.1%	22.0%	-14.6%	13.2%	-60.3%	-25.9%	-33.0%	105.7%	-15.9%	-11.5%	8.4%

Appendix B: Statement of Income-Reinsurers U\$ '000

[illegible]

Statement of Financial Position-Reinsurers US\$'000

[illegible]

					INCOME STATEMENT (\$000)																	
	A Forbes	A. Khan	Aon	Broksure	Capitol	Care	E & Y	HRIB	H. Adams	Insuraverse	L.A.Guard	Marsh	Matden Re	Momentum	Navistar	P. Mkondo	Perpro	Rainbow	Re. Brokers	TIB	ZIB	Total
Gross Premium Receivable	2,896	112	19,856	246	3,413	1,483	1,044	3,344	2,258	1,350	470	883	1,300	682	5,467	64	293	45	2,234	411	4,177	52,407
Gross Premium Payable	2,357	92	16,795	204	2,835	1,215	1,044	2,341	1,864	1,134	397	994	758	567	4,955	53	147	38	2,138	334	3,425	44,421
Brokerage Commission	539	20	0	42	583	269	178	503	394	225	73	(111)	542	115	512	11	152	6	97	77	752	7,985
less Commission paid	28	0	0	0	0	0	0	120	29	0	0	5	0	0	0	0	2	0	0	0	138	328
Net Brokerage Commission	511	20	0	42	583	269	178	483	365	225	73	(116)	542	115	512	10	151	6	97	77	614	7,657
Other Income	27	0	1,531	0	5	6	14	0	30	30	5	6	7	18	3	11	5	0	19	2	9	1,734
Less Administration expenses	517	19	2,203	39	423	228	155	423	437	205	45	526	43	124	512	15	123	7	157	95	816	7,133
Profit Before Tax	21	2	835	2	160	47	37	60	(42)	51	33	(636)	507	9	3	6	34	(0)	(41)	(17)	(193)	2,258
Taxation	6	1	615	1	0	4	5	15	0	18	13	100	2	3	1	1	1	0	11	0	14	810
Profit after Tax	15	1	620	2	160	43	32	44	(42)	33	20	(735)	505	6	2	5	33	(0)	(52)	(17)	(207)	1,447



BALANCE SHEET (\$000)

	A Forbes	A. Khan	Aon	Capitol	Care	Goldstick	HRIB	H. Adams	Insuraverse	L.A.Guard	Marsh	Matden Re	Momentum	Navistar	P. Mkondo	Perpro	Progressiv	Rainbow	Re. Brokers	TIB	ZIB	Total
Equity and Liabilities	0	0	0	0	0	0	0	0	0	559	0	0	0	0	0	0	0	0	0	291	0	850
Equity	0	0	0	0	0	0	0	0	0	90	0	0	0	0	0	0	0	0	0	39	0	128
Share Capital	0	0	0	0	0	0	0	0	0	100	0	0	0	0	0	0	0	0	0	0	0	100
Authorised Share Capital	0	32	0	12	0	0	0	0	20	0	0	12	0	0	0	100	0	2	0	50	0	228
Issued and Paid Up Capital	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Share Capital	796	32	33	74	8	0	1	1	0	100	5	0	100	70	20	40	120	4	0	50	50	1,504
Share Premium	0	0	0	0	16	0	0	0	0	0	0	10	0	0	126	0	0	0	0	0	0	152
Non-Distributable Reserves	76	100	1,416	0	90	70	21	55	0	0	559	0	92	13	36	53	100	22	221	16	208	3,148
Retained Income	(928)	20	1,219	177	48	2	115	(72)	41	(10)	371	4	127	22	(37)	49	(375)	(0)	5	(27)	28	778
Owners Equity	(55)	152	2,668	252	162	72	137	(16)	41	90	936	14	320	104	145	142	(155)	26	226	39	287	5,583
	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Non-current liabilities: (Specify them)	0	0	0	6	0	30	12	0	0	0	0	2	0	0	0	0	143	0	1	0	40	235
Deferred tax	0	0	0	0	0	0	12	0	0	0	0	2	0	0	0	0	0	0	0	0	0	14
Bank overdraft	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	143	0	0	0	0	143
Shareholder's loan	0	0	0	0	0	30	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	30
	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Current liabilities	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Payable Premiums	1,018	92	26,749	280	34	3	922	223	503	470	994	181	179	172	14	0	291	0	2,919	220	92	35,355
Other Liabilities: (Specify them)	288	0	581	125	2	0	0	67	0	0	288	13	15	120	17	3	74	0	16	32	172	1,815
accrued expenses	0	0	0	0	0	9	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Brokers commission payable	0	0	0	0	0	0	1	0	0	0	0	0	0	0	0	0	0	0	0	0	0	1
Provisions	0	0	0	0	0	0	31	0	0	0	0	0	0	0	0	0	0	0	0	0	0	31
Sundry creditors	0	0	0	0	0	0	42	0	0	0	0	0	0	0	0	0	0	0	0	0	0	42
Taxation	0	0	0	0	0	0	1	0	0	0	0	1	0	0	0	0	0	0	50	0	0	52
withholding Tax	0	0	0	0	0	0	7	0	0	0	0	0	0	0	0	0	0	0	0	0	0	7
Total Current Liabilities	1,306	92	27,331	405	36	13	1,005	290	503	470	1,282	195	194	292	31	3	365	0	2,985	252	264	37,304
Total Equity and liabilities	1,251	244	29,998	663	198	114	1,153	274	544	559	2,217	211	514	397	176	145	352	26	3,213	291	590	43,130
	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Assets	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Non - Current Assets	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Property and Equipment	0	23	0	0	1	0	0	0	0	0	19	0	4	2	107	0	0	2	0	2	0	159
Freehold land	0	0	0	0	0	70	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Land & Buildings	0	0	0	0	90	0	0	9	120	0	150	0	0	70	21	0	180	5	0	0	191	836
Furniture and Fittings	8	15	255	10	2	4	3	9	30	7	16	4	10	15	8	13	11	1	0	2	11	434
Motor Vehicles	42	35	304	37	12	4	69	24	24	22	3	7	68	74	2	63	72	0	3	23	19	908
Computer Equipment	32	10	112	4	4	4	23	14	5	12	17	0	6	8	0	4	8	0	0	9	31	304
Computer Software	0	4	33	0	1	0	23	0	1	9	1	0	0	0	17	0	0	0	0	0	0	89
Investments	0	160	27	57	49	30	0	2	71	19	0	0	133	10	2	11	21	0	349	0	79	1,020
Other	0	0	0	0	0	0	0	0	0	13	0	0	145	0	0	4	0	0	0	0	0	162
Total Non- Current Assets	82	247	731	108	159	111	119	58	251	81	207	11	366	179	156	96	292	8	352	36	331	3,984
	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Current Assets	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Commission Receivable	0	20	26,093	9	0	1	764	0	0	73	941	0	0	173	0	0	0	0	0	0	52	28,127
Accrued Investment Income	0	1	6	0	0	1	0	0	0	6	196	0	0	0	19	0	0	0	0	0	27	256
Other Debtors & Inventory	649	0	14	85	1	1	41	7	401	384	872	5	98	17	0	30	56	0	2,391	108	41	5,200
Cash & Cash Equivalents	521	0	3,154	461	38	0	229	209	145	15	0	195	50	27	1	20	5	19	469	147	139	5,844
Total Current Assets	1,169	21	29,267	555	39	3	1,035	216	547	478	2,010	200	148	217	19	49	61	19	2,860	255	259	39,427
Total Assets	1,251	268	29,998	663	198	114	1,153	274	798	559	2,217	211	514	397	176	145	352	28	3,213	291	590	43,410